

Entrepreneurship — Exam Revision Pack

General Commercial Knowledge · Entrepreneurship: meaning · types · qualities · factors · functions

Revision questions to master: (1) Define an entrepreneur & entrepreneurship · (2) Qualities of an entrepreneur · (3) Characteristics of entrepreneurship · (4) Difference between a manager and an entrepreneur.
Part A answers these directly; Part B adds the supporting theory (types, factors, functions).

Part A — Revision Questions: Model Answers

Q1. Define an entrepreneur and entrepreneurship.

Entrepreneurship is the **process of setting up one's own business venture** — distinct from employment or practising a profession — to create value through innovation. It is regarded as the **fourth factor of production** (alongside land, labour and capital) and is crucial for a nation's economic development. Its output is the establishment of an **enterprise**.

An **entrepreneur** is the **person who establishes and organises that business venture**, innovates, and bears its risks and uncertainties.

Schumpeter: "Entrepreneurship is essentially a creative activity... doing such things as are generally not done in the ordinary course of business. An entrepreneur is one who innovates, i.e. carries out new combinations."

Mary Coulter: "the process whereby an individual or group use organised efforts to pursue opportunities to create value and grow by fulfilling wants and needs through innovation and uniqueness, no matter what resources the entrepreneur currently has."

Q2. Qualities of an entrepreneur.

A successful entrepreneur should possess these qualities:

Quality	Meaning
Spirit of enterprise / risk-taking	Bold enough to face the risks of the venture; not discouraged by setbacks
Self-confidence	Belief in oneself to pursue high goals and bounce back from failure
Flexibility	Willing to change earlier decisions as the business environment changes
Innovation	Offers something new — new product, method, market or feature
Resource mobilisation	Marshals tangible inputs (money, manpower, materials) and intangibles (motivation, morale) — "gap-filling & input completion"
Hard work	Puts in strenuous, constant effort to achieve the venture's goals
Leadership	Influences and leads the team by example toward the goals
Foresight	Visualises future market/technology changes and acts in time
Analytical ability	Makes rational, objective decisions — not emotional or biased ones
Decision-making	Takes prompt, correct decisions on product, technology, location, size, etc.

(Also cited as qualities of a successful entrepreneur: willingness to make sacrifices & assume risk, and optimism about the future.)

Q3. Characteristics of entrepreneurship.

- **Innovation & creativity** — doing new things or old things in new ways (new combinations).
- **Risk-bearing** — the entrepreneur accepts the risk and uncertainty of the venture.
- **Value creation** — pursues opportunities to create value and fulfil wants/needs.
- **Organisation & resource mobilisation** — brings together and coordinates the factors of production.
- **Goal-oriented & opportunity-seeking** — driven to achieve specific, measurable goals.
- **A dynamic process** — continually adapts to a changing environment.
- **Economic activity & employment generation** — triggers wider economic activity and creates jobs.
- **Decision-making** — involves continuous, timely and correct decisions.

Q4. Difference between a Manager and an Entrepreneur.

Basis	Entrepreneur	Manager
Role	Owner who conceives and starts the venture	Employee who runs/administers it
Motive	Profit, achievement and innovation	Salary / remuneration for services
Risk	Bears the business risk & uncertainty	Bears little or no personal risk
Reward	Profit — uncertain and variable	Salary — fixed and assured

Focus	Vision, starting up, innovating	Day-to-day operations & execution
Status	Owner of the enterprise	Employee of the enterprise
Decisions	Independent, strategic, entrepreneurial	Routine, administrative, operational

Part B — Supporting Theory

Types of Entrepreneurs

Grouping	Types
By ownership	Founders / " pure " entrepreneurs (e.g. Dhirubhai Ambani) · second-generation family operators · franchisees · owner-managers (e.g. Bill Gates buying MS-DOS)
By motivation	Induced (pushed by external factors like unemployment/policy) · idea generator · real managers · real achievers
By type of business	Industrial (manufacturing) · trading (buy & sell) · corporate · agricultural
By use of innovation	Innovative (bring change) · imitative (copy proven ideas) · Fabian (cautious/sceptical) · drone (resist change)
Special categories	Women entrepreneurs (≥51% ownership) · copreneurs (husband & wife run a venture together)

Factors Affecting Entrepreneurial Growth (5 categories)

Factor	Examples
Psychological	Need for achievement, personal motives, recognition, need for authority
Cultural	Culture, religious belief, minority groups, spirit of capitalism
Social	Legitimacy of entrepreneurship, family & role models, caste, education, social status/responsibility
Economic	Infrastructure, finance, materials & know-how, labour, market, support system, government policy
Personality	Personality, independence, compulsion

Functions of an Entrepreneur (Kilby — four groups)

Function group	Includes
Exchange relationship	Perceiving market opportunities, gaining command over scarce resources, purchasing inputs, marketing & responding to competition
Political administration	Dealing with public bureaucracy (licences, concessions, taxes), managing human relations, customer & supplier relations
Management control	Managing finance and managing production
Technology	Acquiring the factory, industrial engineering, upgrading process/product quality, introducing new products

Arthur H. Cole adds: setting & revising objectives, developing the organisation, securing finance, acquiring technology, developing markets/new products, and maintaining public relations.

Why entrepreneurship matters

- **Generates employment** — self-employment for the entrepreneur plus jobs for many others.
- **Triggers economic activity** — purchasing raw materials, production, distribution.
- **Drives economic development** — a pivotal fourth factor of production for a nation.